

## China factory automation data: May 2026

EQUITY: JAPAN MACHINERY

## Airtac sales up 26% y-y in May

Sector-specific movements due to seasonality; increased AI data center investment also likely to contribute

**We estimate that Airtac daily sales were up 26% y-y and down 1% m-m in May**

Taiwanese pneumatic equipment manufacturer Airtac [1590 TT], which generates around 90% of its sales in China, released May sales data on 2 June, with CNY-denominated sales up 26% and down 10% m-m (Figure 4). We estimate that daily sales were up 26% y-y and down 1% m-m (assuming 20.5 business days), broadly in line with April, the period that follows the Lunar New Year and is likely to represent the highest level of the year.

The company's comments did not include any major changes from the previous month, and were as follows: In May, sales and order value both rose y-y to record highs despite there being fewer business days owing to the long weekend in China, and May order value continued to exceed shipment value, with both orders and shipments exceeding guidance. All changes in input costs caused by geopolitical factors are within a manageable range for the company. Moreover, the 15th five-year plan put forward by the Chinese government emphasizes smart manufacturing and industrial advancements, and management expect both to contribute to increased demand in the pneumatic equipment market. The company expects the government to continue to announce support measures as needed, and it remains optimistic about demand in the pneumatic equipment industry in FY26 and the company's overall development.

**By customer sector: Orders from electronics and battery industries correcting on seasonal factors since April, but orders from machine tool industry have been solid**

In terms of sales by industry, we estimate that sales rose 12% y-y for electronics (26% sales weighting), rose 55% for batteries (18%), rose 15% for autos (9%), rose 20% for packaging machinery (8%), rose 35% for machine tools (8%), rose 35% for general machinery (5%), rose 46% for textile machinery (5%), and fell 5% for energy and lighting (solar-power related) (3%). Sales look to have fallen m-m from April, when growth was particularly strong for electronics and batteries, which we attribute in large part to seasonal factors. Machine tool orders look to have been solid, rising further from April, when they were at a high level. We think this was due in large part to increased investment in AI data centers. Orders also look to have risen m-m from the textile machinery, packaging machinery, and general machinery sectors. Demand in the automation industry as a whole looks to have been strong, with the exception of solar power-related industries, albeit with monthly fluctuations from sector to sector.

## Research Analysts

## Japan machinery

## Boqiong Wang - NSC

boqiong.wang@nomura.com  
+81 3 6703 1217

## Angela Yang - NSC

wenching.yang@nomura.com  
+81 3 6703 1819

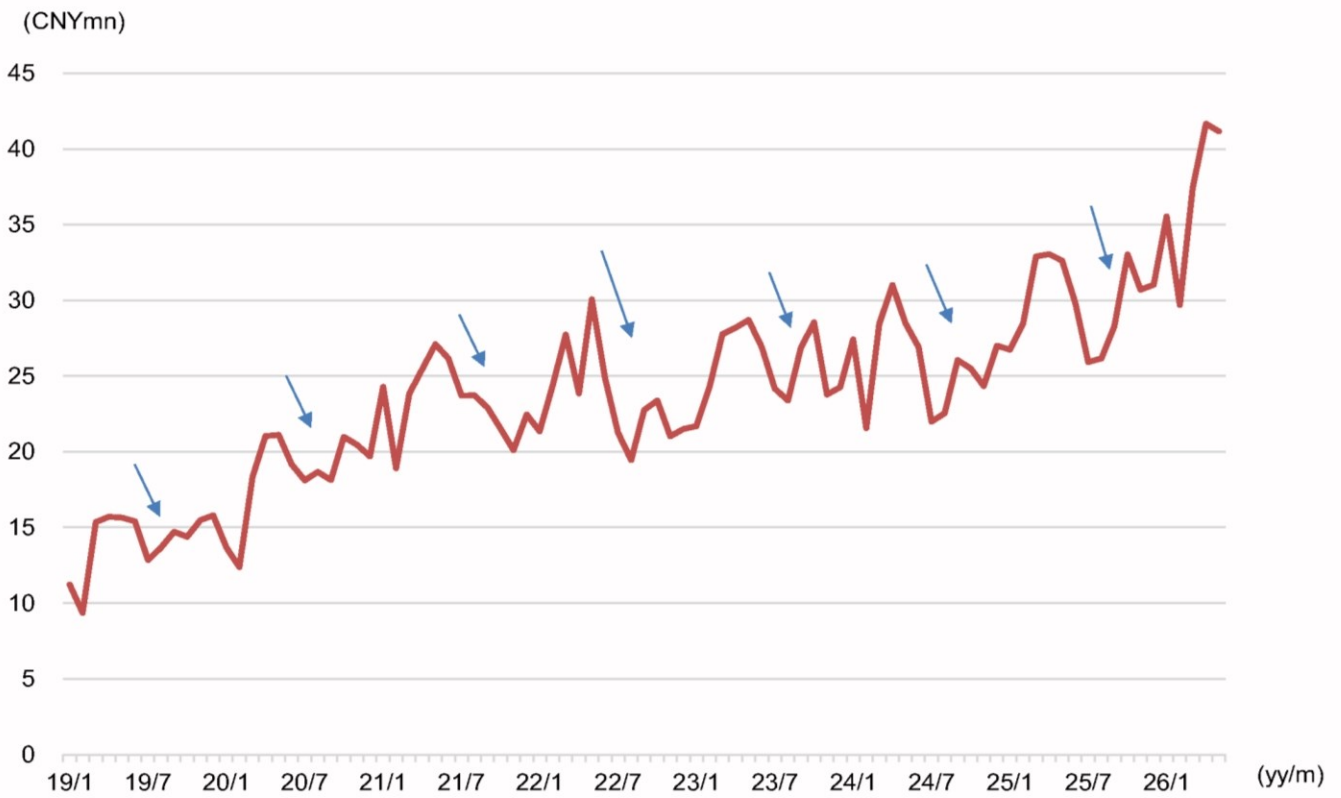
## Kentaro Maekawa - NSC

kentaro.maekawa@nomura.com  
+81 3 6703 1208

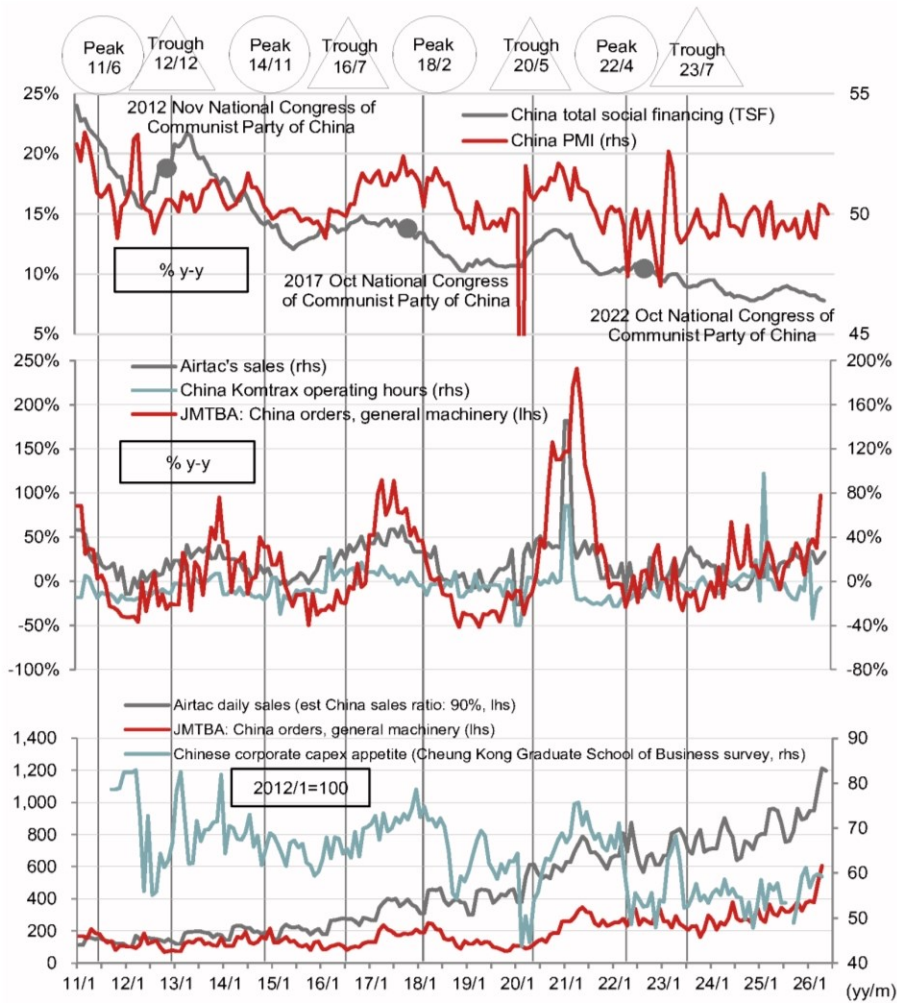
## Reference figures

**Fig. 1: Airtac daily sales**

Sales tend to decline m-m in June and July owing to seasonality



Note: Daily sales = monthly sales ÷ number of business days.  
Source: Nomura, based on company data

**Fig. 2: China: Total social financing, Airtac sales, Komtrax operating hours, machine tool orders**

Source: Nomura, based on People's Bank of China data, Cheung Kong Graduate School of Business data, data disclosed by each company, and Japan Machine Tool Builders' Association data

**Fig. 3: Airtac's sales mix by user industry**  
Broad mix of customer industries, biggest is electronics

| (%)                 | 2022 | 2023 | 2024 | 2025 |
|---------------------|------|------|------|------|
| Electronics         | 25   | 22   | 29   | 27   |
| Machinery           | 13   | 12   | 14   | 13   |
| Batteries           | 17   | 14   | 8    | 14   |
| Packaging           | 7    | 8    | 9    | 9    |
| Autos               | 6    | 6    | 8    | 10   |
| Energy and lighting | 6    | 13   | 5    | 3    |
| Other               | 26   | 25   | 27   | 24   |

Source: Nomura, based on company data

**Fig. 4: China: Airtac sales, Komtrax operating hours, JMTBA machine tool orders for general machinery in China**

Key data for considering machinery demand in China

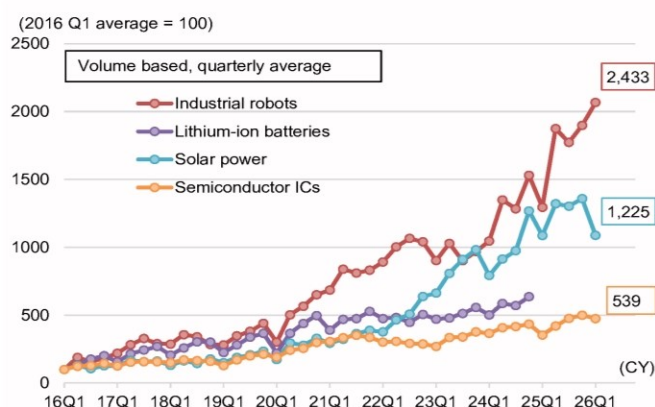
|        | Airtac sales |       | Komtrax China |       | JMTBA: China orders, general machinery |       |
|--------|--------------|-------|---------------|-------|----------------------------------------|-------|
|        | (CNY '000)   | (y-y) | (Hours)       | (y-y) | (¥mn)                                  | (y-y) |
| 24/1   | 658,253      | 102%  | 80            | 88%   | 9,384                                  | -1%   |
| 2      | 323,593      | -39%  | 28            | -62%  | 7,349                                  | -18%  |
| 3      | 668,579      | -4%   | 92            | -11%  | 8,958                                  | 16%   |
| 4      | 698,022      | 15%   | 97            | -4%   | 8,364                                  | -19%  |
| 5      | 627,134      | -1%   | 101           | 1%    | 9,852                                  | 15%   |
| 6      | 565,363      | -4%   | 88            | -3%   | 13,358                                 | 67%   |
| 7      | 549,841      | -1%   | 88            | -1%   | 9,795                                  | 34%   |
| 8      | 541,490      | -7%   | 93            | 3%    | 9,199                                  | 14%   |
| 9      | 547,280      | -7%   | 95            | 7%    | 9,744                                  | 20%   |
| 10     | 510,106      | -6%   | 105           | 4%    | 9,369                                  | 63%   |
| 11     | 571,907      | 0%    | 105           | 4%    | 8,593                                  | 17%   |
| 12     | 621,207      | 11%   | 108           | 19%   | 12,320                                 | 18%   |
| 25/1   | 494,763      | -25%  | 66            | -18%  | 9,749                                  | 4%    |
| 2      | 526,614      | 63%   | 56            | 98%   | 9,017                                  | 23%   |
| 3      | 773,101      | 16%   | 94            | 2%    | 12,908                                 | 44%   |
| 4      | 776,591      | 11%   | 98            | 1%    | 10,809                                 | 29%   |
| 5      | 668,675      | 7%    | 93            | -7%   | 10,401                                 | 6%    |
| 6      | 656,312      | 16%   | 81            | -7%   | 12,112                                 | -9%   |
| 7      | 648,335      | 18%   | 87            | -2%   | 11,279                                 | 15%   |
| 8      | 615,003      | 14%   | 83            | -11%  | 11,280                                 | 23%   |
| 9      | 707,606      | 29%   | 81            | -15%  | 12,200                                 | 25%   |
| 10     | 627,824      | 23%   | 88            | -17%  | 13,430                                 | 43%   |
| 11     | 690,959      | 21%   | 100           | -5%   | 11,529                                 | 34%   |
| 12     | 744,836      | 20%   | 99            | -8%   | 13,247                                 | 8%    |
| 26/1   | 817,845      | 65%   | 91            | 38%   | 13,655                                 | 40%   |
| 2      | 475,088      | -10%  | 37            | -34%  | 13,328                                 | 48%   |
| 3      | 899,165      | 16%   | 85            | -10%  | 17,769                                 | 38%   |
| 4      | 937,464      | 21%   | 92            | -6%   | 21,341                                 | 97%   |
| 5      | 843,421      | 26%   |               |       |                                        |       |
| 23/1-2 | 860,331      | 3%    | 118           | 0%    | 18,378                                 | 3%    |
| 24/1-2 | 981,846      | 14%   | 108           | -8%   | 16,733                                 | -9%   |
| 25/1-2 | 1,021,377    | 4%    | 122           | 13%   | 18,766                                 | 12%   |
| 26/1-2 | 1,292,933    | 27%   | 128           | 5%    | 26,983                                 | 44%   |

Source: Nomura, based on Japan Machine Tool Builders' Association and company data

**Fig. 5: Timing of Chinese New Year**

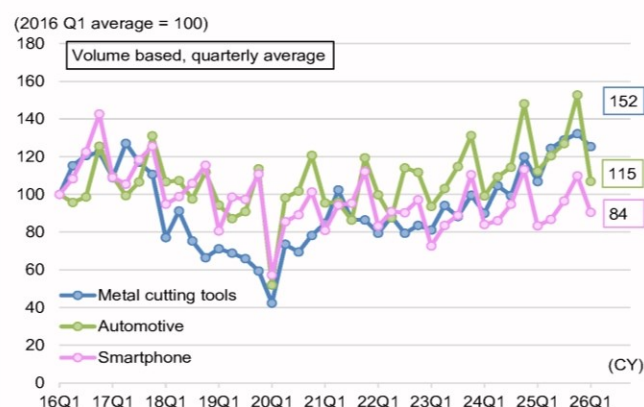
| Year | Chinese New Year |
|------|------------------|
| 11   | 3 Feb            |
| 12   | 23 Jan           |
| 13   | 10 Feb           |
| 14   | 31 Jan           |
| 15   | 19 Feb           |
| 16   | 8 Feb            |
| 17   | 28 Jan           |
| 18   | 16 Feb           |
| 19   | 5 Feb            |
| 20   | 25 Jan           |
| 21   | 12 Feb           |
| 22   | 1 Feb            |
| 23   | 22 Jan           |
| 24   | 10 Feb           |
| 25   | 29 Jan           |
| 26   | 17 Feb           |
| 27   | 6 Feb            |

Source: Nomura

**Fig. 6: Chinese industrial production: Growth areas**

Note: Latest data is for 2026 Q1 (average of Jan, Feb and Mar). Figures inside boxes are most recent available monthly data (April). Figures for Li-ion batteries are through 2024 Q4.

Source: Nomura, based on CEIC (original data is from National Bureau of Statistics of China)

**Fig. 7: Chinese industrial production: Cyclical areas**

Note: Latest data is for 2026 Q1 (average of Jan, Feb and Mar). Figures inside boxes are most recent available monthly data (April).

Source: Nomura, based on CEIC (original data is from National Bureau of Statistics of China)



# Appendix A-1

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Transactions involving convertible bonds are subject to a sales commission of up to 1.10% (tax included) of the transaction amount (or a commission of ¥4,400 (tax included) if this would be less than ¥4,400). When convertible bonds are purchased via OTC transactions (including offerings), only the purchase price shall be paid, with no sales commission charged. However, Nomura Securities may charge a separate fee for OTC transactions, as agreed with the customer. Convertible bonds carry the risk of losses owing to factors such as interest rate fluctuations and price fluctuations in the underlying stock. In addition, convertible bonds denominated in foreign currencies also carry the risk of losses owing to factors such as foreign exchange rate fluctuations.

When bonds are purchased via public offerings, secondary distributions, or other OTC transactions with Nomura Securities, only the purchase price shall be paid, with no sales commission charged. Bonds carry the risk of losses, as prices fluctuate in line with changes in market interest rates. Bond prices may also fall below the invested principal as a result of such factors as changes in the management and financial circumstances of the issuer, or changes in third-party valuations of the bond in question. In addition, foreign currency-denominated bonds also carry the risk of losses owing to factors such as foreign exchange rate fluctuations.

When Japanese government bonds (JGBs) for individual investors are purchased via public offerings, only the purchase price shall be paid, with no sales commission charged. As a rule, JGBs for individual investors may not be sold in the first 12 months after issuance. When JGBs for individual investors are sold before maturity, an amount calculated via the following formula will be subtracted from the par value of the bond plus accrued interest: (1) for 10-year variable rate bonds, an amount equal to the two preceding coupon payments (before tax) x 0.79685 will be used, (2) for 5-year and 3-year fixed rate bonds, an amount equal to the two preceding coupon payments (before tax) x 0.79685 will be used. When inflation-indexed JGBs are purchased via public offerings, secondary distributions (uridashi deals), or other OTC transactions with Nomura Securities, only the purchase price shall be paid, with no sales commission charged. Inflation-indexed JGBs carry the risk of losses, as prices fluctuate in line with changes in market interest rates and fluctuations in the nationwide consumer price index. The notional principal of inflation-indexed JGBs changes in line with the rate of change in nationwide CPI inflation from the time of its issuance. The amount of the coupon payment is calculated by multiplying the coupon rate by the notional principal at the time of payment. The maturity value is the amount of the notional principal when the issue becomes due. For J117 and subsequent issues, the maturity value shall not undercut the face amount. Purchases of investment trusts (and sales of some investment trusts) are subject to a purchase or sales fee of up to 5.5% (tax included) of the transaction amount. Also, a direct cost that may be incurred when selling investment trusts is a fee of up to 2.0% of the unit price at the time of redemption. Indirect costs that may be incurred during the course of holding investment trusts include, for domestic investment trusts, an asset



management fee (trust fee) of up to 5.5% (tax included/annualized basis) of the net assets in trust, as well as fees based on investment performance. Other indirect costs may also be incurred. For foreign investment trusts, indirect fees may be incurred during the course of holding such as investment company compensation.

Investment trusts invest mainly in securities such as Japanese and foreign equities and bonds, whose prices fluctuate. Investment trust unit prices fluctuate owing to price fluctuations in the underlying assets and to foreign exchange rate fluctuations. As such, investment trusts carry the risk of losses. Fees and risks vary by investment trust. Maximum applicable fees are subject to change; please thoroughly read the written materials provided, such as prospectuses or documents delivered before making a contract.

In interest rate swap transactions and USD/JPY basis swap transactions ("interest rate swap transactions, etc."), only the agreed transaction payments shall be made on the settlement dates. Some interest rate swap transactions, etc. may require pledging of margin collateral. In some of these cases, transaction payments may exceed the amount of collateral. There shall be no advance notification of required collateral value or collateral ratios as they vary depending on the transaction. Interest rate swap transactions, etc. carry the risk of losses owing to fluctuations in market prices in the interest rate, currency and other markets, as well as reference indices. Losses incurred as such may exceed the value of margin collateral, in which case margin calls may be triggered. In the event that both parties agree to enter a replacement (or termination) transaction, the interest rates received (paid) under the new arrangement may differ from those in the original arrangement, even if terms other than the interest rates are identical to those in the original transaction. Risks vary by transaction. Please thoroughly read the written materials provided, such as documents delivered before making a contract and disclosure statements.

In OTC transactions of credit default swaps (CDS), no sales commission will be charged. When entering into CDS transactions, the protection buyer will be required to pledge or entrust an agreed amount of margin collateral. In some of these cases, the transaction payments may exceed the amount of margin collateral. There shall be no advance notification of required collateral value or collateral ratios as they vary depending on the financial position of the protection buyer. CDS transactions carry the risk of losses owing to changes in the credit position of some or all of the referenced entities, and/or fluctuations of the interest rate market. The amount the protection buyer receives in the event that the CDS is triggered by a credit event may undercut the total amount of premiums that he/she has paid in the course of the transaction. Similarly, the amount the protection seller pays in the event of a credit event may exceed the total amount of premiums that he/she has received in the transaction. All other conditions being equal, the amount of premiums that the protection buyer pays and that received by the protection seller shall differ. In principle, CDS transactions will be limited to financial instruments business operators and qualified institutional investors. Transfers of equities to another securities company via the Japan Securities Depository Center are subject to a transfer fee of up to ¥11,000 (tax included) per issue transferred depending on volume. No account fee will be charged for marketable securities or monies deposited.

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